Nebius Group (NBIS) — Earnings Update

3Q26 | 12 November 2026 | Post-call version

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Post-call version. Call content from the Investing.com AI-assisted transcript (only transcript available on 12 November); two analyst names unconfirmed. No knowledge base: web-retrieved documents only (6-K exhibits 99.1 and 99.2, 2Q26 6-K, 9 November preview). Five quarters of reported history.

1 Executive snapshot

Consensus thesis: Investors own Nebius for hyperscaler-anchored demand, a ~40% EBITDA margin and prepayment-heavy funding; at $154.69 on 11 November (about $123 intraday on 12 November, -20%, Investing.com) the market prices delivery and funding risk, not demand.

Thesis status: Monitoring | **Versus expectations:** Quarter: beat (revenue $980.8mn vs ~$906-917mn; adj. EPS ~$0.30 vs ~-$0.61 consensus; GAAP EPS -$0.13). Outlook: below (FY26 revenue cut to $3.0-3.2bn vs ~$3.35bn; ARR target slips two months; capex up).

Biggest changes

- About $325mn of the $980.8mn was one-off 'asset-light' revenue; without it revenue grew ~13% QoQ, not 68% (6-K ex. 99.2; our calc).
- Delivery slipped: New Jersey (Microsoft) will have 'more than half' of contracted capacity by year-end, the rest in 2Q27, after temporary generation was retired early; FY26 revenue goes to the low end and $7bn ARR moves to February.
- First 2027 guide: revenue $12-13bn (consensus ~$12.2bn) but capex $40-45bn, 75-85% from prepayments and asset-backed debt, pre-tax breakeven only in 4Q27.
- Prepayments are now the funding model: >90% of 3Q contract value carries one, covering >100% of related capex; deferred revenue rose $3.43bn to $9.41bn, but receivables rose $3.76bn and 3Q operating cash flow was -$273mn.
- Debt rose to $14.19bn from $8.55bn (converts $5.75bn, $775mn asset-backed facility); operating cash flow swung from +$2.25bn in 2Q to -$273mn; the $3.5bn Citi secured facility (October) was not addressed on the call.

Investor takeaway: The consensus view should shift from 'demand-led compounding' to 'execution and funding': demand and pricing (>$25mn per MW-year) look stronger, but delivery slips, a much larger 2027 capex bill and uncollected prepayments mean credit quality holds only if 2027 prepayments of $17-20bn are collected on time.

What to monitor next quarter

- New Jersey tranches delivered by year-end and February ARR above $7bn.
- Cash collection of the 3Q receivables build ($3.76bn) and 4Q operating cash flow.
- Citi facility take-out and the first large asset-backed loan against Microsoft or Meta contracts (size, advance rate, spread).

2 Key changes this quarter

Pillar scorecard

Pillar	What the market assumed	What the quarter showed	Verdict	Source
P1 Demand and pricing	Demand exceeds supply; price per MW firm	>$12bn signed since 1 July; new-deal ACV >$25mn per MW-year (Q2 >$20mn); ARR $6.4bn vs $4.1-4.3bn analyst views (preview); RPO only +3% to $38.7bn	Confirmed	6-K ex. 99.2
P2 Delivery	Capacity on time; 800 MW-1 GW connected by YE	New Jersey and other colocation sites 'behind schedule'; half of Microsoft capacity by YE, rest 2Q27; no MW disclosed	Challenged	Ex. 99.2; call
P3 Funding without heavy dilution	Prepayments and IG-backed debt fund capex	Prepayments >100% of new-deal capex, but OCF -$273mn; ~$1.0bn net ATM in 3Q (7.6mn shares left); 2027 needs $6-11bn beyond prepay/ABF; Citi take-out silent	Unresolved	Ex. 99.1; call

Pillar	What the market assumed	What the quarter showed	Verdict	Source
P4 Unit economics	~40% EBITDA margin converts to returns	47.5% EBITDA, 5.1% GAAP operating margin; flattered by one-off revenue; pre-tax breakeven 4Q27 on 5-year depreciation	Unresolved	Ex. 99.1, 99.2
P5 Anchor quality	Microsoft and Meta de-risk the book	Microsoft in delivery planning but tranches late; no Meta update; 'high majority' of new $12bn is AI-native	Challenged	Ex. 99.2; call

Emphasized more: prepayments as standard terms, contract value per MW, 2027 capacity (>1 GW a year) and a switch to revenue and pre-tax guidance. **Less or dropped:** ARR ('no longer the right measure'), connected-MW targets, the 800 MW-1 GW year-end goal. **KPIs more important:** deferred revenue and receivables, pre-tax income, RPO. **Risks up:** delivery at colocation sites, funding scale. **Down:** demand and pricing.

→ Dropping ARR the quarter it slips, and not disclosing MW, reduces the market's ability to track delivery; deferred revenue and receivables become the best proxy.

Analyst focus (Trevor)

Topic	Analysts (12 Nov call)	Status	Answer
Capex and funding	Duval (Goldman), Oliver (Baird)	Rising	Direct on prepayments; partial on 2027 gap (no $ figure)
Delivery and MW timing	BNP analyst (name unconfirmed), Fish (Piper)	New	Mostly direct on cause (power); no milestones
2027 guide and backlog	Radke (Citi), Chokshi (Northland)	Rising	Direct on 2027 assumptions; deflected on why RPO rose only 3% (follow-up); partial on AI-native share
Margins	Donovan (Compass Point)	Persistent	Direct: ~40% FY26 reaffirmed; 2027 to trend up
Pricing / contract mix	Morgan Stanley analyst (name unconfirmed)	Persistent	Partial; short-term mix not quantified
One-off revenue	Matovic (Wolfe)	New	Direct: excluded from 2027 guide
Customer concentration	Oliver (Baird)	Persistent	Deflected: enterprise split not reported

Trevor's watch-list. No CK-named analysts; one transcript held, so trends are against the 9 November preview's questions. Added **Alex Duval (Goldman Sachs)**, who opened on funding: asked whether prepayments can carry cash needs given the debt market; answer direct (yes, by allocating capacity across contract types); later evidence: 3Q operating cash flow negative despite $3.43bn of new deferred revenue. Added **Tyler Radke (Citi)**: after a question on 2027 assumptions, followed up on why RPO rose 3% after >$12bn signed; deflected (timing, pricing, post-quarter signings); test: 4Q RPO. Unasked from our preview list: Citi facility take-out, D&A life (answered only as 5-year in the 2027 guide), ATM use (CFO volunteered 7.6mn shares left). — Trevor

3 KPI dashboard

Metric ($mn unless stated)	3Q26	2Q26	3Q25	Flag	Trend
Revenue	980.8	582.3	146.1	[↑]	+68% QoQ, +571% YoY
of which non-recurring asset-light	~325	n.a.	n.a.	[?]	First disclosed
Adj. EBITDA (margin)	465.8 (47.5%)	236.2 (40.6%)	(5.2)	[↑]	Flattered by one-off
GAAP operating income (margin)	50.4 (5.1%)	(175.9)	(130.2)	[↑]	Turned positive
D&A (% revenue)	354.7 (36%)	259.7 (45%)	99.0	[↓]	+37% QoQ
Interest expense (% revenue)	112.5 (11.5%)	119.1 (20%)	14.7	[~]	-6% QoQ
Net loss, continuing / GAAP EPS	(37.5) / -$0.13	(190.4)	(119.6) / -$0.50	[↑]	Adj. net income +90.9
Capex (cash PP&E)	7,300	5,657	956	[↓]	9M $15.4bn
Operating cash flow	(273.0)	2,246.1	(80.6)	[↓]	Receivables +$3.76bn
Deferred revenue (prepayments)	9,409	5,975	n.a.	[↑]	+$3.43bn
Cash + restricted	7,426 + 1,216	8,042 + 1,056	n.a.	[~]	
Total debt	14,191	8,546	n.a.	[↓]	+66% QoQ
Net debt (ex restricted)	6,765	504	n.a.	[↓]	
ARR ($bn)	6.4	3.0	n.a.	[↑]	+1,062% YoY; being retired
RPO ($bn)	38.7	37.5	n.a.	[~]	+3%
Active / connected MW	n.d.	n.d.	n.d.	[?]	Not disclosed
New-deal ACV per MW-year	>$25mn	>$20mn	n.a.	[↑]	

Flags: for cost, debt and dilution lines [↓] means worse for shareholders. Sources: 6-K ex. 99.1 and 99.2 (12 November); 2Q26 6-K.

4 Guidance analysis

Metric	Guidance	vs. prior	vs. consensus	Mgmt explanation	Analyst read
FY26 revenue	Low end of $3.0-3.4bn (CFO: $3.0-3.2bn)	Lowered	Below ~$3.35bn	Third-party capacity slipped into 1H27	Implied 4Q $1.04-1.24bn
FY26 adj. EBITDA margin	~40%	Maintained	In line	Timing varies	4Q implies lower margin than 3Q
FY26 capex	~$27bn	Raised (from $20-25bn)	Above ~$23.2-23.9bn	Building 2027 capacity	Implied 4Q ~$11.6bn
ARR	>$7bn for February	Delayed ~2 months	Below $7-9bn YE	Same slip	Metric dropped from 2027
Contracted power	5 GW by YE	Maintained	n.a.		
FY27 revenue	$12-13bn	New	In line (~$12.0-12.2bn)	Conservative capacity timing	Excludes asset-light deals
FY27 capex	$40-45bn	New	Above ~$29bn	Owned sites, >1 GW a year	75-85% prepay and ABF; prepayments $17-20bn, 'not a ceiling'
Pre-tax breakeven	4Q27	New	n.a.	5-year depreciation	FY27 loss implied

Underlying economic performance: **improving on price and demand, deteriorating on delivery timing**. Excluding the one-off $325mn, revenue grew ~13% QoQ (our calc); guidance credibility drops a notch (ARR target set in August missed by two months).

5 Strategic / moat evolution

Dimension	Condition	Direction	Key observations	Investment implication
Power and sites	Mixed	↓ near term	Colocation sites late; >3 GW owned sites over 3-3.5 years	Owned sites cut third-party risk but raise capex
Customer credit	Strong but shifting	~	Microsoft, Meta anchors; new $12bn mostly AI-native	Prepayments offset weaker credit
Cost of capital	Moderate	~	Converts 0.50% 2030 and 4.50% 2034; ABS SOFR+250; Citi 364-day SOFR+275-350 (terms per preview)	Cheaper than CoreWeave if prepay model holds
Delivery speed	Weakening	↓	Temporary generation retired early; Bloom fuel cells replacing	Behind-the-meter power is now a delivery risk
Software / services	Improving	↑	Token Factory, Databricks, Snowflake, Palantir wins	Supports >$25mn per MW-year pricing

5-10 year view: pricing power and an enterprise customer base are building, but Nebius is moving from asset-light colocation to owning gigawatt sites; returns will depend on delivering >1 GW a year on time and funding it at asset-backed spreads.

6 Major risks and changes

Risk	Prior status	Current	Direction	Implication
Delivery and construction	Watched (Vineland fine, stop-work)	Microsoft tranches to 2Q27; other colocation sites late	Up	Revenue and ARR pushed right
Funding and refinancing	Citi 364-day bridge	2027 capex $40-45bn; $6-11bn beyond prepay/ABF (our calc); Citi silent	Up	Dilution or costlier debt
Prepayment collection	Not tracked	Receivables +$3.76bn; OCF negative	New	Prepay model only works if cash arrives
Earnings quality	D&A absorbing EBITDA	One-off $325mn; breakeven 4Q27	Up	Margins not yet proof of returns
Customer concentration	Microsoft oversight report	Mix shifting to AI-native	~	Credit mix weaker, prepay stronger

Concern → response → evidence

Concern	Response	Evidence
Can prepayments fund capex in a weak debt market?	Yes; capacity allocated across contract types	Partly: deferred revenue +$3.43bn but receivables +$3.76bn
Why is Vineland late?	Temporary generation wound down early; moving to Bloom	Half of Microsoft capacity by YE; rest 2Q27
Is 47.5% margin repeatable?	~40% for FY26; 2027 to trend up	One-off $325mn in 3Q; excluded from 2027 guide

7 Capital, funding and per-share impact

Period	Capex	Op. cash flow	Funding gap	Debt raised	Equity raised	Prepay (def. rev.)	Net debt	Shares (mn)
3Q26	7,300	(273)	~7,573	Converts 5,750; ABS 773	Treasury shares (ATM) 1,062	9,409 (+3,434)	6,765	292.9
2Q26	5,657	2,246	~3,411	n.a.	n.a.	5,975	504	n.a.
9M26	15,431	4,231	~11,200	Converts 10,088; ABS 773	Treasury shares 3,909; warrants 2,000			

$mn. 3Q and 9M from 6-K ex. 99.1 cash-flow statement; 2Q from 2Q26 6-K. Funding gap = capex less operating cash flow (our calc).

What the next dollar costs: secured asset-backed debt at SOFR+250bp (July) and the Citi bridge at SOFR+275bp stepping to 350bp; converts cheap but convert at about $313-325 (preview), far above the share price. Maturities in 24 months: the Citi facility (364-day from October per preview; draw undisclosed).

Management cites payback under two years on five-year deals with prepayments covering over 100% of capex: the risk is timing and collection, not pricing. Issued shares rose more than the ATM alone explains (+21mn QoQ in issued shares), so check the 6-K share bridge.

→ 2027 needs $40-45bn; if prepayments of $17-20bn arrive on time and asset-backed debt covers most of the rest, equity need is small; a slip of one quarter in collections widens the gap by several billion.

8 Monitoring checklist

Five signals

- Deferred revenue and receivables: does cash follow invoices in 4Q?
- New Jersey: Microsoft tranches delivered by 31 December.
- February ARR above $7bn (last ARR print).
- Citi take-out and first contract-backed loan (size, spread).
- 4Q RPO after >$12bn signed.

Key risks building: delivery slips at colocation sites; 2027 funding scale; earnings quality. **Confirmation:** 4Q operating cash flow positive; capacity disclosed in MW. **Tripwires:** another delivery slip on Microsoft; equity raise above the ATM; prepayments refunded or deferred.

Questions for owners (post-call)

Question	Why it matters	Asked?
3Q deferred revenue rose $3.43bn but receivables rose $3.76bn and OCF was -$273mn. How much of the receivable is collected since 30 September, and are prepayments contractually due before capex is spent?	Tests P3; prepay model is the credit story	No
The $3.5bn 364-day Citi facility steps to SOFR+350bp. Drawn amount, and which contract-backed loan takes it out, at what advance rate and spread?	Credit: refinancing risk	No
2027 capex $40-45bn with 75-85% from prepayments and asset-backed debt leaves $6-11bn. Equity, converts or more secured debt?	Credit and dilution	Partly (Oliver; no $)
Excluding $325mn one-off, revenue grew ~13% QoQ. What was 3Q revenue and EBITDA margin on recurring cloud alone?	Tests P4	Partly (Matovic)
Connected MW at 30 September and at year-end vs the old 800 MW-1 GW goal?	Tests P2	No
RPO +3% after >$12bn signed: how much was signed after 30 September, and was any RPO repriced or cancelled?	Tests P1 and P5	Deflected (Radke)

Read-across for Kona

Nebius now gets >90% of new contract value prepaid and says prepayments cover all related capex, at >$25mn per MW-year: Kona should ask GPU-cloud or hosting tenants for prepayments sized to capex, not just deposits. The Vineland delay came from temporary generation being retired early, so behind-the-meter power is now a tenant-facing delivery risk: Kona should show permanent gas generation and fuel supply fully contracted before committing dates, and price delay credits. Collection matters as much as signing: tie prepayment due dates to construction draws.